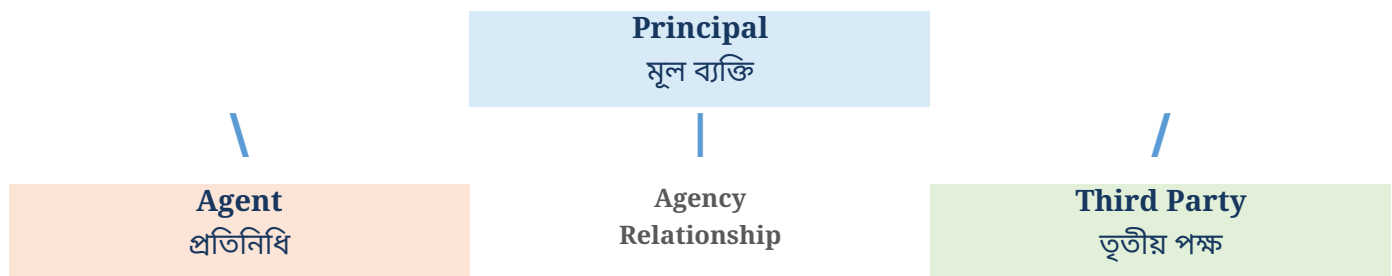


BECM 3107

LAW OF AGENCY

Term Final Study Guide

Easy English explanations + প্রয়োজনীয় বাংলা অর্থ + memorizing techniques



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1. Chapter Map and Learning Outcomes

প্রথমে পুরো অধ্যায়ের মানচিত্র বুঝে নিন

Core idea | মূল ধারণা

An agent acts for a principal in dealings with a third party. When the agent acts within authority, the principal normally receives the contractual rights and liabilities.

Agent একজন principal-এর পক্ষে third party-এর সঙ্গে কাজ করেন; অনুমতির মধ্যে কাজ করলে contract-এর অধিকার ও দায় সাধারণত principal-এর হয়।

Learning outcomes

- Define the term “Agent” - Agent শব্দটির সংজ্ঞা দিতে পারা
- Explain how an agency is created - Agency কীভাবে সৃষ্টি হয় তা ব্যাখ্যা করা
- Discuss the scope of an agent’s authority - Agent-এর ক্ষমতার সীমা আলোচনা করা

Whole chapter at a glance

Topic	Easy meaning	Memory key
Agent	A representative acting for another person	A = Acts for Another
Three parties	Principal, Agent, Third party	PAT
Creation of agency	Five ways an agent gets authority	CAURO
Liability	Within authority: principal usually liable	Authority -> Principal
Disclosed agency	Third party knows the principal exists	D = Disclosed/Declared
Undisclosed agency	Third party does not know the principal exists	U = Unknown
Agency vs distributorship	One contract vs two separate contracts	1 vs 2

Master mnemonic: PAT

P = Principal (যার পক্ষে কাজ হয়) | A = Agent (যিনি প্রতিনিধিত্ব করেন) | T = Third party (যার সঙ্গে agent লেনদেন করেন)

2. Who Is an Agent?

Agent-এর সংজ্ঞা ও কাজ

Definition

According to Alverstone CJ, an agent is **“any person who happens to act on behalf of another.”**

Easy definition | সহজ সংজ্ঞা

An agent is a person who represents a principal in legal or business dealings with third parties.

Agent হলো এমন ব্যক্তি, যিনি principal-এর পক্ষে third party-এর সঙ্গে আইনগত বা ব্যবসায়িক কাজ করেন।

Three key words

Word	Bangla meaning	Exam explanation
Principal	মূল ব্যক্তি / যাঁর পক্ষে কাজ হয়	The person represented by the agent.
Agent	প্রতিনিধি	The person acting on behalf of the principal.
Third party	তৃতীয় পক্ষ	The person with whom the agent deals.

Why agency law is important

- It is part of commercial law - এটি বাণিজ্যিক আইনের অংশ।
- It allows one person to conduct business through another person.
- It connects the principal and the third party in a contractual relationship.
- The principal normally becomes legally responsible; the agent normally remains only a representative.

Memory sentence

“Agent acts, Principal pays/receives.” - Agent কাজ করেন; principal সাধারণত contract-এর দায় ও অধিকার বহন করেন।

3. Relationship of the Parties

Principal-Agent-Third Party triangle

Agency creates three relationships

Relationship	What happens	AEC example
P <-> A	Principal appoints and authorizes the agent.	Client appoints Architect/Engineer/QS.
A <-> T	Agent negotiates or deals with the third party.	Consultant communicates with Contractor.
P <-> T	The final contractual rights and obligations arise here.	Client and Contractor become contractually bound.

Typical AEC relationship

Construction-sector example

Client = Principal | A/E/QS = Agent | Contractor = Third party. The consultant may negotiate, instruct, certify, or communicate on behalf of the client, depending on the authority granted by the contract.

One-contract idea

In an agency sale, the relevant contract is normally between **Principal and Third Party**. The agent helps create it but is normally not a contracting party.

Mnemonic: P-A-T triangle

P gives Authority to A -> A deals with T -> Contractual rights and obligations connect P and T.

4. Liability of an Agent

কখন principal দায়ী, কখন agent দায়ী

General rule

Within authority

If the agent acts within the authority given by the principal, the agent is generally not liable to the principal or third party for the contract. The principal bears the contractual liability.

Agent অনুমতির সীমার মধ্যে কাজ করলে contract-এর দায় সাধারণত principal-এর ওপর পড়ে।

Simple logic

Question	Answer
Who authorized the act?	The principal.
Who is represented?	The principal.
Who normally receives rights and liabilities?	The principal.
What is the agent?	An authorized representative.

When may the agent become personally liable?

- The agent signs the contract in their own name without qualification.
- The agent expressly accepts personal liability in addition to the principal.
- The act is outside the authority given by the principal (the slides emphasize protection only when acting within authority).

Exam trigger

Always write: "The protection of the agent depends on acting within the scope of authority."

5. Agency Is Not Distributorship

একটি common comparison question

Main distinction

Agency	Distributorship
Agent represents the principal.	Distributor buys and resells as a principal.
Normally one contract of sale: Principal <-> Third Party.	Normally two contracts: Manufacturer <-> Distributor and Distributor <-> Customer.
Agent normally does not own the goods for resale.	Distributor purchases the goods and resells them.
Principal normally bears contractual liability.	Distributor bears liability in its own resale contract.

Memory trick: 1 vs 2

Agency = 1 final sale contract. Distributorship = 2 separate contracts.

Agency-তে একটি মূল contract; distributorship-এ manufacturer-distributor এবং distributor-customer-দুইটি contract।

Model exam conclusion

Therefore, the use of the word "agent" in business does not automatically create a legal agency. The true test is whether the person represents another or buys and resells as a principal.

6. Five Methods of Creating Agency

Agent কীভাবে authority পায়

The five methods

Method	Easy explanation	Bangla cue
1. Consensual agency	Created by agreement between principal and agent.	সম্মতির মাধ্যমে
2. Apparent/Ostensible authority	Principal's representation makes the third party believe authority exists.	দেখতে/বিশ্বাসে authority
3. Usual/Customary authority	Arises from normal practice, custom, or nature of the role.	প্রচলিত রীতি
4. Ratification	Principal later approves an act originally done without authority.	পরে অনুমোদন
5. Operation of law/Necessity	Law creates agency because of special circumstances or necessity.	আইন বা প্রয়োজন

Mnemonic: CAURO

C = Consensual | A = Apparent | U = Usual | R = Ratification | O = Operation of law

Consensual agency: actual authority

Type	Meaning	Memory
Express authority	Authority clearly stated by the principal.	Express = Explicit
Implied authority	Authority understood from circumstances.	Implied = Inferred

7. Understanding Authority Easily

Actual, apparent, usual, ratified and necessary

Authority	Source of authority	Who/what creates it?	Easy example
Express	Clear words or agreement	Principal -> Agent	Client expressly authorizes consultant to issue a notice.
Implied	Circumstances surrounding the appointment	Principal-Agent relationship	An appointed manager performs ordinary management acts.
Apparent/Ostensible	Representation made to third party	Principal -> Third party belief	Principal presents someone as authorized.
Usual/Customary	Normal practice or role	Trade custom / usual role	Acts normally performed by a person in that position.
Ratification	Later approval	Principal after the act	Principal accepts an unauthorized transaction afterwards.
Law/Necessity	Special circumstances	Operation of law	Urgent action required to protect interests.

Important distinction

Actual authority concerns the relationship between principal and agent. Apparent authority is based on what the principal causes the third party to believe.

Memorizing technique

- Express = spoken/written clearly.
- Implied = understood silently from circumstances.
- Apparent = appears to the third party.
- Ratification = approval after the act.

8. Disclosed Agency

Third party principal-এর পরিচয় জানে

Definition and rules

- The agent contracts with a third party on behalf of a principal.
- Before the contract, the agent identifies the principal or provides enough information to identify the principal.
- The third party knows the agent is acting for the principal.
- The contract is between the principal and third party, not normally between agent and third party.
- The principal is responsible for the contract and can enforce its terms.

Memory trick: D = Declared

Disclosed agency means the principal is declared or identifiable before the contract.

Liability in disclosed agency

Situation	Who is normally liable?
Agent acts within authority and properly discloses agency	Principal alone
Agent expressly accepts personal liability	Agent may also be liable
Agent signs in own name without qualification	Agent generally assumes personal liability

Payment rule

General rule

Payment by the third party to the agent does not automatically amount to payment to the principal. The debt is discharged only when the agent has authority or the circumstances permit the agent to receive payment. The slides cite *Irvine & Co v Watson & Sons* [1880].

9. Undisclosed Agency

Third party principal-এর অস্তিত্ব জানে না

Definition

- The third party believes the agent is acting on their own behalf.
- The third party does not know that a principal exists.
- The principal's identity is hidden or not revealed when the contract is made.
- The third party therefore contracts with the agent without knowledge of the principal.

Memory trick: U = Unknown

Undisclosed agency = the principal is unknown to the third party at the time of contracting.

Disclosed vs undisclosed

Point	Disclosed agency	Undisclosed agency
Knowledge of principal	Third party knows/identifies principal.	Third party does not know principal exists.
Agent's appearance	Clearly acts as representative.	Appears to act personally.
Contract position	Principal-third party relationship is open.	Hidden principal may later seek to intervene, subject to limits.

10. Limits on an Undisclosed Principal's Right to Intervene

Principal সব ক্ষেত্রে contract enforce করতে পারেন না

Limitation	Easy explanation	Case mentioned
1. Capacity	Principal must have existed and had legal capacity when the contract was made.	Kelner v Baxter
2. Agent had actual authority	The agent must have had prior actual authority; an undisclosed principal cannot ratify a contract made without prior consent.	-
3. Contract excludes intervention	Principal cannot intervene where the contract expressly or impliedly prohibits it.	Humble v Hunter [1848]
4. Personal selection of agent	Principal cannot intervene when the third party chose the agent for personal skills or personal reasons.	Greer v Downs Supply Co [1927]

Mnemonic: CAP-P

C = Capacity | A = Actual authority | P = Prohibition by contract | P = Personal selection

Key exam sentence

Although an undisclosed principal may seek to enforce a contract made on their behalf, that right is restricted where capacity, prior authority, contractual exclusion, or personal selection prevents intervention.

11. Essential Vocabulary with Bangla Meaning

পরীক্ষার জন্য প্রয়োজনীয় শব্দ

English term	Bangla meaning	Simple note
Agency	প্রতিনিধিত্বমূলক আইনগত সম্পর্ক	Agent acts for principal.
Agent	প্রতিনিধি	Acts on behalf of principal.
Principal	মূল ব্যক্তি / নিয়োগদাতা	Person represented.
Third party	তৃতীয় পক্ষ	Person dealing with agent.
Authority	ক্ষমতা / অনুমোদন	Legal power to act.
Scope of authority	ক্ষমতার সীমা	Boundary of permitted acts.
Liability	আইনগত দায়	Responsibility under law/contract.
Express authority	স্পষ্ট অনুমোদন	Clearly granted authority.
Implied authority	উহ্য অনুমোদন	Inferred from circumstances.
Apparent/Ostensible authority	প্রতীয়মান ক্ষমতা	Appears to exist to third party.
Customary authority	প্রথাগত ক্ষমতা	From custom/usual role.
Ratification	পরে অনুমোদন	Principal later approves act.
Disclosed agency	প্রকাশিত agency	Principal known.
Undisclosed agency	অপ্রকাশিত agency	Principal unknown.
Intervene	হস্তক্ষেপ করে অধিকার প্রয়োগ করা	Principal enters/enforces contract.
Personal liability	ব্যক্তিগত দায়	Agent personally responsible.

12. Memorizing Techniques

কম সময়ে বেশি মনে রাখার পদ্ধতি

1. PAT triangle

PAT

Principal gives authority -> Agent acts -> Third party deals. The final contract normally links Principal and Third Party.

2. CAURO: five creation methods

CAURO

Consensual - Apparent - Usual - Ratification - Operation of law

3. CAP-P: limits on intervention

CAP-P

Capacity - Actual authority - Prohibition - Personal selection

4. D/U contrast

D = Disclosed	U = Undisclosed
Declared principal	Unknown principal
Third party knows	Third party does not know
Principal openly liable	Principal may intervene subject to limits

5. Active recall drill

1. Close the notes and write PAT, CAURO and CAP-P from memory.
2. Explain each letter aloud in one sentence.
3. Draw the Principal-Agent-Third Party triangle in 30 seconds.
4. Compare disclosed and undisclosed agency without looking at the table.

13. Exam Answer Framework and Model Answers

লিখিত উত্তরের সহজ structure

Use DREC

Step	What to write
D - Definition	Give the legal meaning in one or two sentences.
R - Rules	List the relevant elements or rules.
E - Example/Case	Use a construction example or a case cited in the slides.
C - Conclusion	Apply the rule and state the legal result.

Model short note: Agent

An agent is a person who acts on behalf of another person, called the principal, in dealings with third parties. The agent represents the principal and helps create contractual rights and obligations between the principal and third party. When acting within authority, the agent is normally not personally liable; the principal bears the contractual liability.

Model comparison: Agency vs distributorship

Agency involves representation and normally one sale contract between principal and third party. A distributor, however, buys goods from a manufacturer and resells them as a principal, creating two separate contracts. Therefore, distributorship is not agency merely because the business uses the word "agent."

Model note: Apparent authority

Apparent or ostensible authority arises when the principal's representation causes a third party to believe that the agent has authority. It focuses on the third party's reasonable belief created by the principal, rather than on private instructions between principal and agent.

14. Probable Written Questions

Term final-এর জন্য practice list

1. Define an agent and explain the purpose of the Law of Agency.
2. Explain the three relationships involved in agency.
3. Discuss the liability of an agent acting within the scope of authority.
4. Distinguish agency from distributorship.
5. Explain the five methods of creating an agency relationship.
6. Distinguish express, implied and apparent authority.
7. Explain disclosed agency and its legal effects.
8. Discuss payment to an agent by a third party.
9. When may an agent become personally liable to a third party?
10. Explain undisclosed agency.
11. Discuss the limitations on an undisclosed principal's right to intervene.
12. Explain the typical contractual relationship among Client, Contractor and A/E/QS in the AEC sector.

High-priority questions

Focus first on: definition of agent, five creation methods, agent liability, agency vs distributorship, disclosed vs undisclosed agency, and four limits on intervention.

15. MCQ and Self-Test

নিজে যাচাই করুন

1. An agent primarily acts on behalf of:

A. Third party B. Principal C. Court D. Distributor

2. Which mnemonic represents the three parties?

A. PAT B. CAP C. DREC D. EOT

3. Authority clearly given by the principal is:

A. Implied B. Express C. Customary D. Undisclosed

4. Apparent authority arises mainly from:

A. Agent's secret belief B. Principal's representation to third party C. Court order D. Distribution contract

5. Ratification means:

A. Prior refusal B. Later approval of an unauthorized act C. Personal selection D. Disclosure

6. In a disclosed agency, the third party:

A. Knows the principal B. Never knows the agent C. Is the principal D. Is a distributor

7. In agency, the sale contract is normally between:

A. Agent and agent B. Principal and third party C. Manufacturer and distributor only D. Court and principal

8. Distributorship normally involves:

A. One contract B. Two separate contracts C. No contract D. Agency by necessity

9. Which is a limitation on an undisclosed principal's intervention?

A. Capacity B. Actual authority C. Contractual prohibition D. All of the above

10. Signing in one's own name without qualification may create:

A. No liability B. Personal liability C. Ratification D. Distributorship

Answer key

1-B, 2-A, 3-B, 4-B, 5-B, 6-A, 7-B, 8-B, 9-D, 10-B

16. One-Page Final Revision

Exam hall-এর আগে শেষবার দেখুন

Concept	One-line recall
Agent	Acts on behalf of principal.
PAT	Principal-Agent-Third party.
Legal effect	Within authority, principal normally gets rights and liabilities.
Agency contract	Normally one final contract between principal and third party.
Distributor	Buys and resells as principal; normally two contracts.
CAURO	Consensual, Apparent, Usual, Ratification, Operation of law.
Actual authority	Express or implied authority between principal and agent.
Apparent authority	Principal causes third party to believe authority exists.
Disclosed	Principal known or identifiable.
Undisclosed	Principal unknown to third party.
CAP-P	Capacity, Actual authority, Prohibition, Personal selection.
Payment to agent	Does not automatically discharge debt unless authority/circumstances permit.
Personal liability	May arise if agent signs personally or accepts liability.

30-second oral summary

Agency law allows an agent to represent a principal before a third party. The agent obtains authority through CAURO. Within authority, the principal normally bears the contract. Disclosed agency reveals the principal; undisclosed agency hides the principal, whose right to intervene is limited by CAP-P.

Final recall checklist

- [] Can I define agent?
- [] Can I draw PAT?
- [] Can I write CAURO?
- [] Can I compare agency and distributorship?
- [] Can I explain disclosed vs undisclosed?
- [] Can I write CAP-P with the cited cases?